

TRADE SECRETS CASE LAW

Arranged by topic, with key cases marked

IP71005 Other Forms of IP

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How this file works

Every case is set out the same way: **Facts, Held, Reasoning, Principle**. Cases marked **KEY CASE** in a yellow band are the ones most likely to be asked about. Learn those first. The rest are cited for a single proposition and are given in short form.

The seventeen key cases

English foundations. *Saltman Engineering, Coco v A N Clark, Faccenda Chicken v Fowler, Mitchel v Reynolds, Anton Piller KG*.

Indian restraint of trade. *Golikari, Krishan Murgai, Percept D'Mark v Zaheer Khan, Varun Tyagi*.

Indian equity and content. *John Richard Brady, Homag India, Priya Puri, Bombay Dyeing, Zee Telefilms, Navigators Logistics*.

United States. *PepsiCo v Redmond, United States v Aleynikov*.

A. Meaning of confidential information

KEY CASE *Saltman Engineering Co Ltd v Campbell Engineering Co Ltd*, (1948) 65 RPC 203, Court of Appeal

Facts. The plaintiffs owned drawings of **tools for making leather punches**. They handed the drawings to the defendants, who were to manufacture the tools under a contract. The defendants instead kept the tools, used them for themselves, and made leather punches on their own account.

Held. Breach of confidence. Taking the manufacturing information from the drawings, or from tools made using them, infringed the plaintiffs' rights.

Reasoning. The obligation rests on a **broad principle of equity**: a person who receives information in confidence **shall not take unfair advantage of it**. It **does not depend on any contract, express or implied**.

Principle. Information **must not be public property or public knowledge**. But a document can be confidential even if made from **materials available to anybody**, because **what makes it confidential is that the maker used his brain and produced a result only someone going through the same process could produce**.

Citation note. One class slide dates this [1963]. It is (1948) 65 RPC 203.

KEY CASE *Coco v A N Clark (Engineers) Ltd*, [1969] RPC 41, decided 1968, Chancery Division, Megarry J

Facts. Coco designed a **moped engine** and shared drawings and information with Clark for a proposed joint venture. The venture collapsed, and Clark then marketed a moped of its own.

Held. Interlocutory injunction **refused**, there being no strong prima facie case and Coco's engine not being in production. The defendants undertook to pay a royalty into a joint account.

Reasoning. Megarry J laid down **three requirements** for breach of confidence where there is no contract: the information must have the **necessary quality of confidence**; it must have been **imparted in circumstances importing an obligation of confidence**; and there must be an **unauthorised use to the detriment** of the person who communicated it. Where commercial information is given on a **business like basis with a common object**, such as a joint venture, **the recipient carries a heavy burden** if he denies being bound.

Principle. The three requirements are the standard test, adopted by Indian courts.

Citation note. One slide names the judge Garry J. It was Megarry J.

KEY CASE *Faccenda Chicken Ltd v Fowler*, [1987] Ch 117

Facts. A sales manager learned his employer's **customer lists and pricing policy**. He resigned and set up a rival company, and the employer sought an injunction.

Held. No breach of confidence on the facts.

Reasoning. Information an employee acquires falls into **three categories**. First, **public or trivial** information. Second, **confidential information**, which he may not use during employment but **may use afterwards**, provided he did not **memorise it deliberately or take it away**. Third, **trade secrets**, which he may **never** use after employment. Fowler's knowledge was in the second category, there was **no bad faith**, and he was simply using what he knew to run a business.

Principle. The **skill against secret** line. Only a genuine trade secret survives the end of employment.

Terrapin Ltd v Builders' Supply Co (Hayes) Ltd, [1960] RPC 128, Roxburgh J

Principle. The source of the **springboard doctrine**. A person who obtains information in confidence may not use it as a **springboard** for activities detrimental to the confider, **and it remains a springboard even after the features have been published or could be found by public inspection**. The obligation therefore **survives publication**, which makes this a doctrine about **unfair advantage rather than secrecy**.

Attorney General v Guardian Newspapers Ltd

Facts. A former MI5 agent moved to **Tasmania**, beyond the reach of United Kingdom law, and wrote a book revealing Secret Service material. Extracts were published, the information was leaking fast, and an injunction was not practically available. **Held and principle.** A **duty of confidence arises when confidential information reaches a person in circumstances where he has notice, or is taken to have agreed, that it is confidential**, so that it would be just to stop him passing it on. Crucially, **this binds third parties**, not only the original recipient.

HRH Prince of Wales v Associated Newspapers Ltd, [2006] EWCA Civ 1776

Principle. On freedom of expression against confidence, the test is **not simply whether the information is a matter of public interest, but whether in all the circumstances it is in the public interest that the duty of confidence should be breached**.

B. Restraint of trade: the foundation

KEY CASE *Mitchel v Reynolds*, (1711) 1 P Wms 181; 24 ER 347, Court of Queen's Bench, Lord Macclesfield

Facts. Reynolds leased Mitchel a **bakehouse in Liquorpond Street, in the parish of St Andrew Holborn, London**, for five years, and gave a bond of **fifty pounds** promising not to bake in that parish during the term. He resumed baking, and Mitchel sued on the bond.

Held. The bond was **enforced**.

Reasoning. All restraints of trade are **presumed bad, but the presumption is rebuttable**. A **general restraint**, unlimited in space, would always be bad. This bond was confined to **one parish and five years** and was supported by consideration, so it was reasonable.

Principle. The distinction between a **general restraint**, void, and a **particular restraint**, which may be valid. This is the reasonableness idea that **Section 27 of the Indian Contract Act deliberately rejected** for restraints after termination.

Note. One slide places the bakehouse in Liverpool. It was in London.

C. Covenants during the term: valid

KEY CASE *Niranjan Shankar Golikari v Century Spinning and Manufacturing Co Ltd*, AIR 1967 SC 1098, Supreme Court, Shelat and Bachawat JJ, 17 January 1967

Facts. Golikari joined Century Rayon at Kalyan as a **Shift Supervisor** on a **five year** contract. The contract barred similar employment elsewhere **during the term** and required secrecy about the **tyre cord**

yarn process, obtained from a foreign collaborator. After about **nine months of training** he left and joined a competitor at Kotah for higher pay.

Held. Injunction upheld.

Reasoning. The employer had a genuine interest in protecting confidential technical knowledge received from its collaborator. The restraint was limited in **time, area and type of employment**, so it was not oppressive. The Court said expressly that a restraint operating **during** the contract is judged differently from one operating **after** it ends.

Principle. A negative covenant **during the term** is generally **not restraint of trade** and falls outside Section 27, **unless the contract is unconscionable, excessively harsh, unreasonable or one sided.**

Gujarat Bottling Co Ltd v Coca Cola Co, (1995) 5 SCC 545, Supreme Court, 4 August 1995

Facts. A bottling and franchise agreement stopped Gujarat Bottling from manufacturing or dealing in competing products **during the term**.

Held. Not a restraint of trade. Enforceable.

Reasoning. While the agreement runs, the parties have simply chosen to deal **exclusively with each other**, which **promotes trade rather than restraining it**. Section 27 targets restraints that bite **after** an agreement ends. The Court also discussed the discretionary nature of interim injunctions.

Principle. The same rule as *Golikari*, but in a **commercial** setting. Cite both together to show the rule is not confined to employment.

Lalbhai Dalpatbhai and Co v Chittaranjan Chandulal Pandya, AIR 1966 Guj 189, Gujarat High Court, Bhagwati and Shah JJ, 14 April 1965

Principle. A negative stipulation in a **personal service contract operating during the term** may be enforced by injunction if it is **reasonable with reference to the interests of the parties and not injurious to the public**.

The court adopted the Nordenfelt reasonableness framework for during term covenants. *Often miscited as AIR 1996 Guj.*

Indus Power Tech Inc v Echjay Industries (P) Ltd, 2024 SCC OnLine Bom 3349, Bombay High Court

Principle. A non compete may validly operate **during** the term of an agreement but **not after** termination. Relied on by the Delhi High Court in *Varun Tyagi*.

D. Covenants after termination: void

KEY CASE **Superintendence Company of India (P) Ltd v Krishan Murgai**, AIR 1980 SC 1717; (1981) 2 SCC 246, Supreme Court, Tulzapurkar, Untwalia and Sen JJ, 9 May 1980

Facts. Murgai was **Branch Manager at New Delhi**. Clause 10 of his service agreement barred him for **two years after leaving** from serving or engaging in any competing business. The company **terminated** his services in December 1978, and he set up his own competing business under a closely similar name. This was an appeal against refusal of a **temporary injunction**, the suit still pending.

Held. Appeal dismissed and injunction refused, **but the three judges were divided in their reasoning**.

Reasoning. The majority, **Tulzapurkar and Untwalia JJ**, read clause 10 as applying only where the employee **left of his own volition**, and not where the employer **dismissed** him. Since Murgai was terminated, the clause simply did not apply and Section 27 did not have to be decided. **Sen J**, separately, went straight to Section 27 and held a post service restrictive covenant **void whatever its reasonableness**, rejecting the English partial restraint doctrine. The Court also noted the **inherent inequity in bargaining power** between employer and employee, so much so that the employee may give no thought to the contract at appointment, and said a restraint must be **no greater than necessary** to protect the employer and **not unduly harsh** on the employee.

Principle. Post service covenants are void under Section 27, but that comes from **Sen J's separate opinion**, not the majority. Practical lesson: **a covenant drafted to bite only when the employee resigns cannot be used by an employer who dismisses him.**

Note. One slide says the Court laid down a definitive reasonableness test and calls this a constitutional precedent. Both are wrong. Say the Court was divided.

KEY CASE *Percept D'Mark (India) Pvt Ltd v Zaheer Khan*, (2006) 4 SCC 227, Supreme Court, Sema and Dr AR Lakshmanan JJ, 22 March 2006

Facts. The cricketer had a promotion agreement with Percept. **Clause 31(b)** gave Percept a **right of first refusal**: after the agreement ended he had to offer Percept the chance to match any third party offer. On expiry he signed with a different agency. Percept sought interim relief under **Section 9 of the Arbitration and Conciliation Act, 1996**.

Held. Relief refused.

Reasoning. Two strands. First, clause 31(b) restricted his **future** freedom to deal with persons of his choice **beyond the term**, so it was hit by Section 27; restraint of trade does not apply during a contract but does apply once it ends. Second, the Court **also refused relief in its discretion**, because money could compensate Percept and an injunction would in substance be **specific performance of a personal service contract** where trust had broken down.

Principle. The rule against post termination restraints extends **beyond employment** to commercial and service relationships generally.

Note. Saying the covenants are categorically void overstates a decision given at the interim relief stage that rested substantially on discretion.

KEY CASE *Varun Tyagi v Daffodil Software Private Limited*, 2025:DHC:5015; 2025 SCC OnLine Del 4589, Delhi High Court, Tejas Karia J, 25 June 2025

Facts. Tyagi, an information technology engineer, was transferred to Daffodil in January 2022 under an agreement whose **clause 2.16** barred him for **three years after leaving** from engaging with any **Business Associate** of Daffodil. Daffodil had been engaged by **Digital India Corporation** to supply developers for the Government's **POSHAN Tracker** project. Tyagi worked on that project, resigned, served his notice period, and then joined **Digital India Corporation itself**. The trial court restrained him.

Held. Appeal allowed. Injunction **quashed**.

Reasoning. Any term restricting an employee's right to be employed after termination is **void under Section 27**, and the goodwill exception did not apply. Once a clause falls inside Section 27, arguing that the restraint is narrow or reasonable is **irrelevant**. Digital India Corporation clearly fell within Business Associate, so even this limited restraint was void. On confidentiality, the letters of intent showed the **intellectual property in the POSHAN Tracker project belonged to Digital India Corporation, not to Daffodil**, so the fear of disclosure was misconceived. There was no real evidence of misuse, damages could compensate any breach, and the balance of convenience favoured Tyagi.

Principle. Specific misuse must be proved. A general fear of competition is not enough, and a court **will not injunct merely because an employee knows things that could theoretically help a competitor**.

Note. One slide says the court held this contravenes the Constitution. The judgment reasons entirely on Section 27.

V F S Global Services Ltd v Suprit Roy, 2008 (2) Bom CR 446, Bombay High Court, Chandrachud J, 10 December 2007

Facts and principle. A **garden leave** clause paid the employee for three months after termination while keeping him out of work. **Held**, such a clause **does not renew the employment contract**, so it operates after termination and is prima facie **in restraint of trade**, hit by Section 27. Obstructing a former employee from gainful employment is not fair, though confidentiality obligations remain separately enforceable.

Desiccant Rotors International Pvt Ltd v Bappaditya Sarkar, 2009 SCC OnLine Del 1926, Delhi High Court, Manmohan Singh J, 14 July 2009

Principle. Where the employer's wish to be protected from competition clashes with the employee's right to seek employment, **the right of livelihood must prevail**. A post employment non compete is void, but **non**

solicitation of customers and suppliers, and protection of genuinely confidential information, may still be enforced.

E. Equity and breach of confidence in India

KEY CASE *John Richard Brady v Chemical Process Equipments P Ltd*, AIR 1987 Delhi 372, Delhi High Court, Saharya J, 6 July 1987

Facts. Brady, an American mechanical engineer, invented a **fodder production unit** capable of growing green fodder all year round. To have it made in India he approached the defendant for **specialised thermal panels**, sharing technical material, detailed know how, drawings and specifications. An arrangement for supply was set out, but the plaintiffs then found the defendant **could not actually supply** the panels, so no order was placed. Later they discovered the defendant had built **its own fodder production unit**, substantially similar though inferior.

Held. Interim injunction **granted**, on breach of confidence and on copyright in the technical drawings, the defendant having made a three dimensional article from them.

Reasoning. Following *Saltman*, the court applied the **wider equitable jurisdiction**. Breach of confidence rests on the principle that a person who receives information in confidence **shall not take unfair advantage of it**, and it **does not depend on any contract**. The court also applied the **springboard doctrine**, holding it applies **even without a non disclosure or any other agreement**, because **the law of trade secrets is not subject to contracts**.

Principle. Two at once. A duty of confidence can arise **purely from the nature of the relationship**, with no signed agreement. And the **springboard doctrine applies in India**. This matters because it protects the common situation where **documentation was simply never done**.

KEY CASE *Homag India Pvt Ltd v Ulfath Ali Khan and IMA AG Asia Pacific PTE Ltd*, MANU/KA/1569/2012, Karnataka High Court, 10 October 2012

Facts. Homag's employee was bound by confidentiality and a one year non compete. He allegedly **emailed confidential customer information** to the competitor IMA and signed with IMA before resigning. The trial judge enjoined the employee but **refused any order against IMA**, because there was **no contract between Homag and IMA**.

Held. That was wrong. The **absence of a contract, and of its breach, does not mean there is no actionable right**.

Reasoning. Relying on *Saltman*, secrecy is protected either by the **principles of equity**, the court insisting on conscientious conduct, or by the common law action for breach of confidence. *Saltman* also identifies three situations: an employee who receives information in the normal course and **passes it on carelessly or deliberately**; an unauthorised person, such as a **new employer who incites** him to supply it; and a **licensee of know how** who breaks a condition of secrecy. On the documents, including the agreement between the employee and IMA, there was a prima facie case that IMA had used the information **as a springboard**.

Principle. Equity reaches beyond privity. Read with *Brady*: Brady says confidentiality does not need a contract; Homag says the remedy does not need privity. Together they let an employer reach both the employee and the new employer.

Fairfest Media Ltd v Lte Group Plc and Ors (2015), High Court of Calcutta

Principle. Summarising the Indian position, the court said the essence of this branch of law, whatever its origin, is that a **person who has obtained information in confidence is not allowed to use it as a springboard for activities detrimental to the person who made the confidential communication**. Courts take a grim view of employees using confidential information as springboards in their own business or career.

Sandhya Organic Chemicals P Ltd v United Phosphorous Ltd, AIR 1997 Guj 177, Gujarat High Court, 4 February 1997

Principle. Concerned a former employee and a third party alleged to be misusing confidential industrial information. Consistent with the employee mobility line: **a court will not restrain an employee from exercising his own skill and knowledge merely because he agreed to a restraint.**

F. What counts as a trade secret in India

KEY CASE *American Express Bank Ltd v Ms Priya Puri*, (2006) III LLJ 540 (Delhi); 2006 SCC OnLine Del 638, Delhi High Court, Anil Kumar J, 24 May 2006

Facts. Priya Puri headed **wealth management** at the bank. Her job was meeting customers and prospective clients, explaining what the bank offered and advising on investments, and she built close and partly personal relationships with them. She resigned and joined a competitor. The bank feared she knew what each customer had invested, knew the bank's positions and future plans, and would take the same clients with her. It claimed the **client list** was confidential information she had taken.

Held. The client list was **not a trade secret**. Injunction refused.

Reasoning. Four strands. The client data was largely **publicly available or known to the customer**, so it was not secret. Much of what she carried away was **her own skill**, and restraining that would hit her **right to livelihood**. An employer **cannot use confidentiality to create a monopoly over customers**, and the argument that once a customer, always a customer was rejected. And **post termination restrictions are void under Section 27**. The competitor bank was also not a party, so customers could not be restrained indirectly.

Principle. Some information is **inseparable from a person's mind** and cannot be surgically removed on changing employers. A real fear that a former employee knows the customers and will approach them is **not enough**. **This is India's answer to inevitable disclosure.**

KEY CASE *Bombay Dyeing Manufacturing Company v Mehar Karan Singh*, Bombay High Court

Held and reasoning. In the **absence of a statutory definition** of a trade secret, a court must decide by weighing **six parameters**:

1. how far the information is known **outside the business**;
2. how far it is known **inside**, that is by the employee;
3. the **precautions taken** by the holder to guard secrecy;
4. the **savings effected and the value** to the holder as against a competitor;
5. the **effort or money spent** obtaining and developing it;
6. the **time and expense others would need** to acquire and duplicate it.

Principle. These are, in substance, the **American six factor test** from the Restatement of Torts, 1939. **An Indian court with no statute arrived at the same six factors**, which is a strong comparative point.

Ambience India Pvt Ltd v Shri Naveen Jain (2005), Delhi High Court

Principle. A trade secret is **protected and confidential information acquired in the course of employment which should not reach others in the employer's interest**. But **routine day to day affairs of the employer, in the knowledge of many and commonly known to others, are not trade secrets**. A trade secret can be a formula, technical know how, or a peculiar mode or method of business unknown to others.

Tata Motors v State of West Bengal

Facts. Disclosure was sought under the **Right to Information Act** of Tata's agreement with the Government of West Bengal for production of the **Nano**. Tata argued the information was commercially sensitive and therefore a trade secret.

Held. The agreement had to be **disclosed**.

Reasoning. The court adopted the **Black's Dictionary** definition of a trade secret, but held that the agreement **involved finances, which is public money**, so the greater public interest required disclosure.

Principle. Trade secrecy yields to the public interest where public funds are involved.

Diljeet Titus v Alfred A Adebare and Ors (2006), Delhi High Court

Principle. Cited with *Fairfest*, *Hi Tech Systems* and *Burlington* for the general test that **information duly protected by its owner, and potentially damaging to the owner if disclosed, is covered as a trade secret or confidential information.**

G. Client lists and solicitation

Hi Tech Systems and Services Ltd v Suprabhat Ray and Ors (2015)

Facts and principle. The respondents were **soliciting the plaintiff's customers using confidential information** acquired while working for the plaintiff. The court enjoined them **from orchestrating any breach of an existing contract of the plaintiff with third parties**, because breach of an existing contract entitles the plaintiff to **equitable relief**. *The name appears as Ray on one slide and Roy on another.*

Embee Software Pvt Ltd v Samir Kumar Shaw and Ors, High Court of Calcutta

Principle. A **non solicitation clause does not amount to restraint of trade, business or profession** and is therefore **not hit by Section 27**. Further, **an ex employee, even without a specific non solicitation clause, cannot solicit so as to damage the business of the ex employer.**

H. Copyright interface

Burlington Home Shopping Pvt Ltd v Rajnish Chibber, 61 (1995) DLT 6, Delhi High Court

Facts. A **mail order service company** sued its former employee, seeking to restrain breach of copyright and of confidentiality in its customer database.

Held. Interim injunction granted.

Reasoning. Although the sources of the addresses were commonly available, **a compilation of addresses developed by devoting time, money, labour and skill amounts to a literary work** in which the author has copyright. The defendant's database was found to be **substantially a copy**.

Principle. A customer database can be protected by **copyright**, independently of any trade secret claim. In theory copyright protects the **expression** and trade secret law the **underlying data**, but in practice the two converge.

Eastern Book Company v D B Modak

Principle. Supplies the **skill and judgment** standard for copyright in compilations. Relied on in *Navigators Logistics*, where the claim failed because that standard was never pleaded.

I. Pleading and proving the secret

KEY CASE *Navigators Logistics Ltd v Kashif Qureshi and Ors*, 2018 SCC OnLine Del 11321, Delhi High Court, Endlaw J, 17 September 2018

Facts. A freight forwarding company sued twelve defendants. Eight were former employees who resigned in May 2016 and were alleged, on the basis of **recovered Skype chats**, to have conspired to divert business to a competitor, which was also sued. The claims were copyright in customer databases and airway bill templates, breach of confidentiality, and breach of a one year non compete. The defendants applied to **reject the plaint under Order VII Rule 11**.

Held. Plaint **rejected** and the suit dismissed.

Reasoning. Four strands. On **specificity**, vague and high sounding pleadings that never identify the actual confidential information cannot support an injunction, because **an injunction that does not specify the information would be unenforceable**. On **customer lists**, a list with contact details easily available publicly is not a trade secret unless the secrecy itself carries economic value. On **copyright**, the

claim failed because the plaintiff **never disclosed the author**, a company being incapable of authorship, and never pleaded the **skill and judgment** required after *Eastern Book Company v D B Modak*. On **Section 27**, the one year non compete was void.

Principle. The claimant must **delineate with precision what the secret is, why it qualifies, and how it was breached**.

Update. A Division Bench gave partial relief against the rejection on 20 November 2024, so mention the appeal if you cite the case.

Ritika Pvt Ltd v Biba Apparels Pvt Ltd, Delhi High Court, DE 0784 2016

Facts. A suit for infringement of the plaintiff's **clothing designs**, with a claim framed partly around trade secrets.

Held and reasoning. If an injunction is sought over trade secrets, **the specific trade secrets must be identified and the plaintiff must show how it owns them**. A **general order about an unspecified trade secret cannot be passed**. The copyright claim also failed, because **Section 15(2)** of the Copyright Act provides that once a drawing, sketch or design has been used to make **more than fifty garments**, no copyright subsists in it.

Principle. Identification is a threshold requirement, and **Section 15(2) is a hard limit** on design based copyright claims.

Genetics India Pvt Ltd v Shailendra Shiv, 2011 (47) PTC 494

Held and reasoning. **Pleadings about the nature and quality of the information said to be confidential are crucial, and without them there is no question of confidentiality**. Beyond pleading it, the plaintiff must **prove reasonable efforts were made** to keep it confidential, or the information risks losing its confidential quality. Further, if the information is **neither unique nor novel**, and the database merely documents material freely available or widely practised, there is no confidentiality.

Principle. **Putting information into a database does not make it confidential; it must also have exclusivity**. A court accepting a blanket claim over plainly public material, **without any statutory regime**, would **overstep the Constitution**, namely Article 19(1)(g) and Article 21.

J. Confidence protecting ideas and concepts

KEY CASE **Zee Telefilms Ltd v Sundial Communications Pvt Ltd**, 2003 (5) Bom CR 404; 2003 (27) PTC 457, Bombay High Court, Division Bench, Shah and Deshmukh JJ, 27 March 2003

Facts. Sundial developed a concept for a television serial about **Lord Krishna as a child**, with detailed concept notes, character sketches and plots, registered it with the writers' and producers' association, and disclosed it in confidence to Zee. Negotiations lapsed with no confirmed deal. Zee then produced a **strikingly similar serial**.

Held. Relief granted for breach of confidence. The similarities were not coincidental.

Reasoning. The **law of confidence is broader than and distinct from copyright**. There can be **no copyright in an idea or in information**, but information imparted in confidence is protectable in its own right. A claimant must **identify the information**, show it was **handed over in confidence**, show it **could be treated as confidential**, and show it was **used or threatened to be used without licence**.

Principle. Confidence protects the **idea or concept** that copyright cannot reach, provided it was communicated in confidence.

Caution. One slide quotes a sentence from this case about there being no specific legislation in India. That quotation could not be verified in the judgment. Paraphrase it.

Anil Gupta v Kunal Dasgupta, 97 (2002) DLT 257, Delhi High Court

Facts. The plaintiff conceived the idea of **Swayamvar**, a reality television show about match making, and shared a **concept note** with the defendants. He later read that they were planning a big budget reality matchmaking show using his concept.

Held. Injunction granted.

Reasoning. The themes and plots existed in the public domain, but the concept **was the result of work done by the plaintiff on that material**, and **what made it confidential was that he used his brain and produced a unique result**. That mirrors the *Saltman* test.

Principle. Secrecy should be maintained through **policy, documentation and non disclosure agreements**. Trade secrets are treated as the owner's property, so **no rule of public interest invalidates an agreement preventing their transfer against his will**.

K. Search orders

KEY CASE *Anton Piller KG v Manufacturing Processes Ltd*, [1976] Ch 55, Court of Appeal, Lord Denning MR, Ormrod and Shaw LJ, 8 December 1975

What it is. An **ex parte civil search order**, now called a search order. It allows the plaintiff to enter the defendant's premises and seize evidence **before the defendant is notified**, so that evidence cannot be destroyed.

The three conditions, laid down by Ormrod LJ:

1. an **extremely strong prima facie case**;
2. **very serious actual or potential damage** to the applicant;
3. **clear evidence that the defendants hold incriminating material**, with a **real possibility they will destroy it** before an application on notice can be made.

Reasoning. Lord Denning stressed that the order operates **in personam**. It compels the defendant to **give permission** to enter; it does not authorise forcible entry. It lies **at the extremity of the court's powers** and demands circumspection.

Principle. The danger is the **asymmetric burden**: the defendant has no notice and no hearing, so a competitor can disrupt operations, reach privileged communications and cause reputational harm **before any substantive issue is argued**. India has no statutory safeguards, against the **eight codified conditions** for civil seizure under the United States Defend Trade Secrets Act.

Columbia Picture Industries v Robinson, [1987] Ch 38, Scott J, and *Universal Thermosensors Ltd v Hibben*, [1992] 1 WLR 840, Nicholls, Vice Chancellor

Principle. Later English safeguards against abuse of search orders: **execution in office hours**, the presence of a **supervising solicitor**, and a **list of items prepared before removal**.

M Sivasamy v Vestergaard Frandsen A/S, 2009 SCC OnLine Del 2310, Delhi High Court, Division Bench, 7 August 2009

Principle. Concerns **discovery and production of documents** and the use of a **sealed cover** to preserve confidentiality. Vestergaard did obtain a search and seizure order against the Indian defendants on 2 April 2007, but **this reported decision is not an authority on Anton Piller safeguards**, despite what one slide suggests.

Vestergaard Frandsen A/S v Bestnet Europe Ltd, [2013] UKSC 31, United Kingdom Supreme Court, Lord Neuberger, 22 May 2013

Principle. A separate case on a separate point. A person who **neither acquired the trade secret nor knew of its misuse is not liable**, because an action for breach of confidence **rests ultimately on conscience**.

L. Inevitable disclosure, United States

KEY CASE *PepsiCo, Inc v Redmond*, 54 F.3d 1262 (Seventh Circuit, 1995), Bauer, Coffey and Flaum JJ, opinion by Flaum J, 11 May 1995

Facts. William Redmond Junior was in upper management at PepsiCo, General Manager of the California business unit. He knew the **1995 Annual Operating Plan** and the pricing, distribution and

marketing strategy for the **All Sport** drink. He had signed a **confidentiality agreement but no non compete**. He secretly negotiated with **Quaker Oats**, which owned Gatorade and Snapple, and accepted the post of Vice President, Field Operations.

Held. Preliminary injunction **affirmed** under the Illinois Trade Secrets Act, temporarily stopping him from taking up the new job.

Reasoning. What Redmond held was **not general skill and knowledge** but **particularised plans and processes** giving PepsiCo an advantage over competitors. He could not set strategy for Gatorade and Snapple without drawing on his knowledge of PepsiCo's plans for the competing products. Illinois law allows an injunction against **inevitable** as well as actual disclosure.

Principle. Threatened misappropriation may be proved by showing inevitable reliance, **but taking a similar position at a competitor does not by itself make disclosure inevitable**. The case set the standard, and did so in a **non technical field**.

***Eastman Kodak Co v Powers Film Products, Inc* (1919)**

Principle. The origin of the **inevitable disclosure doctrine**. Originally applied only to employees in **technical fields**, later extended to those holding **financial, manufacturing, production and marketing** information.

Four cases on whether the doctrine is distinct from threatened misappropriation

1. ***Barilla America, Inc v Wright***. Inevitable disclosure targets disclosure **despite the employee's best intentions**; threatened misappropriation targets disclosure **based on his intentions**.
2. ***Del Monte Fresh Produce Co v Dole Food Co***. They are **separate theories**. The Uniform Act gives two types of misappropriation, actual and threatened; some courts derived a **third**, inevitable disclosure. The difference lies in the **level of proof**: inevitable disclosure needs a **real and present danger of disclosure**, threatened misappropriation needs **proof beyond inevitability**.
3. ***Whyte v Schlage Lock Co***. The doctrine **cannot substitute for proving actual or threatened misappropriation**.
4. ***Central Valley General Hospital v Smith***. California confirmed that inevitable disclosure is an **alternative** to that proof, and that **rejecting the doctrine does not reject threatened misappropriation**.

Molon Motor and Coil Corporation v Nidec Motor Corporation, No. 1:2016cv03545, Document 81 (N.D. Ill. 2017)

Facts and principle. A maker of bespoke motors and gearmotors sued a competitor after an employee who had downloaded its designs and technical data joined that competitor. The defendant argued the Defend Trade Secrets Act did not apply because the download pre dated May 2016. The court **adopted the inevitable disclosure doctrine** and asked whether the inference of inevitable disclosure **extended to continued use after the effective date**. Because a motor design and its quality control data **keep their value for years**, continued use after May 2016 was plausible.

Santander Securities v Gamche, 2017 WL 1208066 (E.D. Penn. April 2017), and ***Brand Energy v Irex***

Principle. In Santander a financial advisor left for the competitor Citizens Securities **taking a list of his clients**. In Brand Energy former employees took **target bids and potential customer information**, joined Irex and began poaching business. Both confirm that the Act applies to **continuing misappropriation occurring after its effective date**.

M. United States statutory cases

KEY CASE ***United States v Aleynikov***, 676 F.3d 71 (Second Circuit, 2012)

Facts. Aleynikov, a programmer at Goldman Sachs, copied the source code of the firm's **high frequency trading system** on his last day and took it to a new employer. He was prosecuted under the **National Stolen Property Act** and the **Economic Espionage Act**.

Held. Conviction **reversed**, and the indictment held legally insufficient.

Reasoning. Under the National Stolen Property Act the code was **not goods, wares or merchandise**, being intangible. Under the Economic Espionage Act as it then stood, the secret had to relate to a product **produced for or placed in** commerce; Goldman used the system **internally and never sold or licensed it**, so it fell outside the statute. The court decided on the **text**, not on the seriousness of the conduct.

Principle. Information does not fit easily into **property based crimes**. The decision produced the **Theft of Trade Secrets Clarification Act of 2012**, which widened the words to a product or service **used in** commerce. **This is the American version of India's problem**, where theft requires the taking of movable property and copied information is neither clearly taken nor clearly property.

United States v Lange, 312 F.3d 263 (Seventh Circuit, 2002)

Facts. RAPCO made aircraft parts. Lange, a disgruntled former employee, offered to sell its secret manufacturing processes to third parties. RAPCO told the Federal Bureau of Investigation, which set up a **sting** in which Lange negotiated with an undercover agent for a copy of the data.

Held. Convicted under the Economic Espionage Act, sentenced to **thirty months**.

Reasoning and principle. The processes met the statutory definition of a trade secret, and Lange knowingly tried to convert them for another's economic benefit. **The Act is not confined to foreign espionage; it works in ordinary commercial theft.**

Epic Systems Corporation v Tata Consultancy Services, 980 F.3d 1117 (Seventh Circuit, 2020)

Facts. A customer shared by both companies gave Tata access to Epic's user web portal **for the limited purpose of testing** at that customer's installation. Tata employees used that access to download large volumes of Epic's confidential documentation, and used it in building a competing product.

Held. Liability established. The jury award was very large and was reduced on review; figures differ between sources, so state them carefully.

Reasoning and principle. Permission to enter the portal was **limited by its purpose**, so using the same credentials for a different purpose was unauthorised. **Access granted for one purpose does not authorise use for another.** The leading case on outsourcing risk.

TianRui Group Co Ltd v International Trade Commission, 661 F.3d 1322 (Federal Circuit, 2011)

Facts. A Chinese manufacturer obtained a United States company's **cast steel railway wheel process** through former employees of the Chinese licensee, made wheels using it, and exported them into the United States.

Held. The International Trade Commission could **bar the imports** under **Section 337 of the Tariff Act**.

Reasoning and principle. The unfair act Section 337 regulates is the **importation**, which takes place in the United States; the misappropriation abroad is only the fact that makes the importation unfair. **A trade secret owner can enforce at the border** against goods made abroad with a stolen secret.

Motorola Solutions, Inc v Hytera Communications Corp, 436 F. Supp. 3d 1150

Principle. Damages are recoverable under the Defend Trade Secrets Act for **foreign acts of misappropriation**, so long as **an act in furtherance took place in the United States**, such as marketing knock off products at a trade show.

End of case law file